MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

THIRD SEMESTER EXAMINATION- MODEL QUESTION PAPER

(2024 ADMISION ONWARDS)

MG3DSECOM 202 – SERVICES MARKETING

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Attempt any twenty questions. Each question carries 1 mark.

1. According to Philip Kotler and Bloom, services are:

a) Tangible and involve ownership transfer b) Physical products sold in a market

c) Intangible benefits offered without ownership d) Goods with added features

(CO 1, Understand)

2. Watching a movie in a theatre is considered a service because:

a) It involves eating snacks b) It is a physical activity

c) It cannot be stored or saved for later use d) It is a product sold by the cinema

(CO 1, Understand)

3. Which example best illustrates the intangibility of a service?

a) Buying a bar of soap b) Purchasing groceries

c) Attending a lecture d) Buying a car

(CO 1, Understand)

4. Which of the following is a People-Based service?

a) ATM withdrawal b) Car wash

c) Doctor consultation d) X-ray machine

(CO 1, Understand)

5. In interactive marketing, services are:

a) Predesigned b) Co-created

c) Outsourced only d) Delivered by machines

(CO 1, Understand)

6. From the following options identify the service marketing P's other than product marketing.

a) Product b) People

c) Price d) Place

(CO 2, Understand)

7. Which factor does not belong to customer targeting criteria?

a) Demographics b) Psychographics

c) Geographics d) Production techniques

(CO 2, Understand)

8. The idea that people are influenced by the actions and opinions of others falls under which marketing strategy?

a) Provide guarantees b) Leverage the power of social proof

c) Focus on customer needs d) Focus on market influences

(CO 2, Understand)

9. Which stage of the Service Life Cycle defines long-term goals and aligns them with business objectives?

a) Service Design b) Service Operation

c) Service Strategy d) Continual Service Improvement

(CO 2, Understand)

10. Which segmentation strategy is most common in B2B services like IT, consulting, or logistics?

(CO 2, Understand

a) Psychographic segmentation b) Demographic segmentation

c) Firmographic segmentation d) Benefit segmentation

11. Which of the following is not considered as a soft standard? (CO 3, Understand)

a) Delivery time b) Courteous

c) Trustworthy d) Communication skills

12. The primary outcome of service excellence is: (CO 3, Understand)

a) Increased employee turnover b) Higher operating costs

c) Reduced market presence d) Customer loyalty and long-term relationships

13. A bank understands that customers want faster loan approvals but sets no specific time limits in its policy. Which gap is this? (CO 3, Understand)

a) Knowledge Gap b) Delivery Gap

c) Communication Gap d) Policy Gap

14. Identify the justice dimension relates to the fairness of the process used to handle a complaint? (CO 3, Understand)

a) Distributive justice b) Procedural justice

c) Interactional justice d) Corrective justice

15. Who introduced the concept of service blueprinting? (CO 3, Understand)

a) G.Lynn Shostack b) Philip Kotler

c) J. Gronroos d) Zeithaml & Bitner

16. Why is service quality critical in modern banking? (CO 3, Understand)

a) To reduce taxes b) To comply with RBI guidelines

c) To become a key factor for success d) To reduce the number of employees

17. How does LIC deliver its products to customers? (CO 3, Understand)

a) Multiple distribution channels including agents and partners b) Only via online apps

c) Through a single branch d) Via telemarketing only

18. Which of the following is a marketing strategy for increasing enrolment? (CO 3, Understand)

a) Reducing courses b) Social media advertising

c) Eliminating events d) Removing scholarships

19. How can a hospitality brand address perishability through marketing? (CO 3, Understand)

a) Using yield management and promotions to fill excess capacity b) Focusing only on weekends

c) Ignoring advance reservations d) Not responding to seasonal changes

20. Community health campaigns adopted by hospitals are examples of: (CO 4, Understand)

a) Storage management b) Social marketing strategy

c) Tangible product promotions d) Cost-reduction measures

21. To improve public trust, utilities must focus on: (CO 2, Understand)

a) Transparency in billing and services b) Celebrity endorsements

c) Luxury positioning d) Market segmentation

22. Specialities of public utility services include: (CO 4, Understand)

a) Mass scale operation b) Regulated pricing

c) High social responsibility d) All of the other options

Part B

Answer any 25 Questions. Each question carries 2 marks

23. Why soft standards are more difficult to measure compared to hard standards?

(CO3, Evaluate)

a) They depend on subjective customer perceptions b) They require expensive equipment

c) They are always inconsistent d) They cannot be linked to customer satisfaction

24. Match the practice with its benefit:

Practice	Benefit
(a) Personalized service	(i) Customer Trust
(b) Clear communication	(ii) Emotional connection
(c) Consistent service	(iii) Brand loyalty
(d) Transparency	(iv) Reduced confusion

(CO3, Evaluate)

a) a-i, b-ii, c-iii, d-iv b) a-ii, b-iv, c-iii,d-i

c) a-iv, b-iii, c-ii, d-I d) a-ii, b- i, c-iii, d-iv

25. Which of the following combination leads to service excellence? (CO3, Evaluate)

a) Empathy, responsiveness, transparency b) Low cost, high speed, reduced staff

c) Innovation, product expansion, outsourcing d) Advertising, branding, packaging

26. Consider the following statements and choose the correct alternative. (CO3, Evaluate)

Statement I: Tangibles are important in service quality because they provide physical evidence of service.
Statement II: A clean office environment and well-dressed employees are examples of tangibles.

a) Both statements are true b) Both statements are false

c) Statement I is true, Statement II is false d) Statement I is false, Statement II is true

27. The Customer Gap is defined as: (CO3, Evaluate)

a). Difference between employee expectations and management expectations b). Difference between customer expectations and customer perceptions

c). Difference between policy standards and delivery d). Difference between management communication and employee delivery

28. Consider the following statements and choose the correct alternative. (CO3, Evaluate)

Statement I: Gap 1 occurs when there is a difference between customer expectations and management's perception of those expectations.
Statement II: Gap 1 can be minimized through effective market research and customer feedback.

a). Both statements are true b). Both statements are false

c). Statement I is true, Statement II is false d). Statement I is false, Statement II is true

29. Consider the following statements Assertion (A) and Reason (R). Choose the correct alternative.
Assertion (A): Services are usually consumed at the time they are delivered. Reason (R): Services can be stored for future consumption like goods. (CO 1, Understand)

a) Both A and R are true, and R is the correct explanation of A b) Both A and R are true, but R is not the correct explanation of A

c) A is true, but R is false d) A is false, but R is true

30. Explain why is India's service sector often said as "overgrown but underemployed".

(CO 1, Understand)

a) Services contribute more to GDP but less to employment generation b) Services employ more people but contribute less to GDP

c) Services and employment have grown proportionally d) Services sector has declined while manufacturing dominates.

31. If AI-based service models become dominant, what ethical challenge could arise?

(CO 1, Understand)

a) Transparency in decision-making and bias in algorithms b) Decline in technology use

c) Excess employment of routine workers d) Falling demand for personalization

32. Consider the following statements and state which of the statements are true.

Statement (1): Equipment-based services involve delivery through machines or automated tools.

Statement (2): Chat-based services require continuous human interaction.

Statement (3): Education and healthcare fall under consumer services.

Statement (4): Customer-centric services involve direct human interaction to meet client needs.
(CO 1, Understand)

a) (1), (2) and (3) only b) (1) and (4) only

c) (2), (3) and (4) only d) (1), (2), (3) and (4)

33. The rapid growth of India's tourism and hospitality sector is most directly linked to?

(CO 1, Understand)

a) Increase in India's agricultural productivity b) Rising global disposible incomes and improved air connectivity

c) Decline in manufacturing growth d) Growth in defence expenditure

34. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (CO 1), Understand)

Assertion (A): Service marketing focuses on creating customized solutions.

Reason (R): Customized services do not help in differentiating from competitors.

a) Both A and R are true, and R is the correct explanation of A b) Both A and R are true, but R is not the correct explanation of A

c) A is true, but R is false. d) A is false, but R is true.

35. How does promotion in service differ from product? (CO 2, Apply)

a) Focuses on customer experience and benefits b) Focuses on raw materials

c) Focuses on specifications only d) Focuses only on production efficiency

36. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (CO 2, Apply)

Assertion (A): Behavioural segmentation groups customers based on demographic variables.

Reason (R): It focuses mainly on factors such as age, income, and gender.

a) Both A and R are true, and R is the correct explanation of A b) Both A and R are true, but R is not the correct explanation of A

c) A is true, but R is false d) Both A and R are false

37. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (C O 2, Apply)

Assertion (A): Positioning creates a unique image of a service in the minds of customers.
Reason (R): It helps customers compare and perceive a service differently from competitors.

a) Both A and R are true, and R is the correct explanation of A b) Both A and R are true, but R is not the correct explanation of A

c) Both A and R are false d) A is false, but R is true

38. From among the following statements select the strategies for service product? (CO 2, Apply)

Statement 1 : Priortize customer experience
Statement 2 : Provides Guarantees to the customers
Statement 3 : Leverage the power of social proof

Statement 4 : Focus on the customer needs
Statement 5 : Increasing the market share of services

a) 1,2 and 5 only b) 1,2,3 and 4 only

c) 2 and 4 only d) 2 only

39. Why is service lifecycle management considered important in organisations? (CO2, Apply)

a) Services once implemented are never changed

b) It focuses only on reducing the cost

c) Reduces the need for communication between service providers and customers

d) It aligns services with business goals, ensures improvement, and maximises value delivery

40. Consider the following statements and choose the most appropriate alternative. (CO 4, Analyse)

Statement I: The inseparability of services implies that the production and consumption of a service often occur simultaneously.

Statement II: In services, inventory management is challenging because they cannot be stored for future use.

a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

41. Consider the following statements and choose the most appropriate alternative. (CO 4, Analyse)

Statement I: Service quality measurement is more complex than product quality measurement because of intangibility and heterogeneity.
Statement II: Tangible products provide more opportunities for customization than services.

a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

42. Consider the following statements and choose the most appropriate alternative. (CO 4, Analyse)

Statement I: Physical evidence plays a vital role in service marketing by helping customers form perceptions about service quality.
Statement II: In banking, brochures, branch design, and staff appearance are examples of physical evidence.

a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

43. Choose the appropriate answer based on the Assertion and Reason. (CO 4, Analyse)

Assertion (A): Perishability is a major challenge in hotel services.
Reason (R): Unsold room nights cannot be stored for future sale.

a) Both A and R are true, and R is the correct explanation of A b) A is true, but R is false
c) Both A and R are true, but R is not the correct explanation of A d) A is false, but R is true

44. Which one of the following is used to visualize and improve service delivery in hospitality?

(CO 4, Evaluate)

a) Service blueprinting b) Financial accounting

c) Process outsourcing d) Benchmark costing

45. Consider the following statements, and find the answer: (CO 4, Evaluate)
Statement I: Hotel rooms are highly perishable because unsold capacity cannot be stored.
Statement II: Dynamic pricing helps manage perishability in services.

a) Both statements are true. b) Statement I is true, and Statement II is false.

c) Statement I is false, and Statement II is true d) Both statements are false.

46. Consider the following statements, and find the answer: (CO 4, Evaluate)

Statement I: Service intangibility makes it difficult for customers to evaluate quality before purchase.
Statement II: Service marketers often use physical evidence to reduce customer uncertainty.

a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

47. Consider the following statements, and find the answer: (CO 4, Evaluate)

Statement I: Variability in services arises because service delivery often depends on human performance.
Statement II: Standardization techniques, such as training and use of technology, help reduce variability in services.

a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

48. A retail bank is facing customer dissatisfaction due to long waiting times in branches. Management is considering two strategies: (CO 4, Analyse)

- Introducing more self-service kiosks for routine transactions.
- Providing additional training to frontline staff for handling complex queries.

Which of the following best analyses the situation?

a) Both strategies address inseparability of services.
b) The first strategy targets process efficiency, while the second targets service quality.
c) Both strategies primarily reduce perishability of services.
d) The first strategy increases tangibility, while the second reduces variability.

49. An effective method to improve energy conservation among households is: (CO 4, Understand)

a) Educating consumers about efficient usage b) Increasing tariffs arbitrarily for all users
c) Removing all subsidies without differentiation d) Ignoring inefficient consumption